

and forget to enjoy the coffee or the dinner, as you busily think about how much you've spent today.

If you have a good way to budget and need the discipline, go ahead and use one of the many apps to track your spending, but if you find that tough to do, just work with the cash flow system.

The goal of the cash flow system in the money box world is to conceive of the least troublesome method of managing inflows and outflows of money, and doing it in a manner that automatically separates spending from saving money.

I don't know about you, but I have had this experience many times over: Whatever may be the amount of cash in the wallet or in the home cash box, it gets spent. Large chunks of unused money cry out to be used, and get borrowed away or spent on an impulse that later you wonder why you gave into.

I remember once being talked into lending a large sum of money to a friend (no longer a friend) for a non-emergency situation. She couldn't manage her expenses and needed help. I bought into the sob story and moved the money. When better sense prevailed, the cash was already gone. It took me more than two years of nagging to get it back. Not a nice place to be in – you lose the money, you lose respect for the other person, and somewhere for yourself for getting into a situation like this. That was a lesson well learnt. I move the money away from temptation. I found a useful way of doing that.

I'll tell you about an easy cash flow system that I use. And then I'll tell you the science behind it. The goal is to separate out money according to its function so that the brain is better able to map it. I do this using three buckets for the three functions of money. These are income, spending and saving. If we can separate the money into these three buckets each month, we'll be in better control.

To do this is harder than you'd think. I use three bank accounts. I give them names. Giving names is very important. For those of us who eat meat, would we be able to eat a chicken that had a name?

Suppose there was *Cheeku* the chicken running around the front lawn – would we be able to eat him? Don't think so. A name gives something an identity and we hate to violate that identity. So I give names to the three